



Entrepreneurship and Professional Practice

Chapter 1. Introduction

Level: Bachelor
Semester: IV/I

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Outline

Reference Books

1. Barringer, B.R., and Ireland, R. D., *Entrepreneurship: Successfully Launching New Ventures*. Pearson.
2. Hisrich, R.D., Manimala, Mathew J., Peters, M. P. and Shepherd, D. A. *Entrepreneurship*. McGraw Hill.
3. Holt, D.H. *Entrepreneurship New Venture Creation*. Prentice-Hall.
4. Timmons, Jeffry A., Spinelli Jr., Stephen. *New venture creation : entrepreneurship for the 21st century*. McGraw-Hill.

Recommended resources:

1. Entrepreneurship and Professional Practice Workbook
2. National and International Policies and Laws
3. Online book and information on technopreneurship, entrepreneurship and professional practice.

Outline

Course Contents

- 1. Unit I: Introduction to Entrepreneurship (4 Hrs.))**
- 2. Unit II: Creativity, Innovation and MVP (3 Hrs.)**
- 3. Unit III: Startup Foundational Analysis (8 Hrs.)**
- 4. Unit IV: Business Modeling, Planning and Pitching (6 Hrs.)**
- 5. Unit V: Ethics and Responsibilities for Professional Practice (4 Hrs.)**
- 6. Unit VI: Legal Issues for Professional Practice (5 Hrs.)**

Unit 1: Introduction to Entrepreneurship

1.1 Fundamentals of Entrepreneurship

1.1.1 Definition of entrepreneurship

1.1.2 Key terminologies: startup, enterprise, entrepreneur, entrepreneurial attitude, intention, and behavior

1.1.3 Comparison: entrepreneurship vs employment

1.1.4 Types of entrepreneurs and their characteristics

1.1.5 Enterprise lifecycle

1.1.6 Role, importance and challenges

1.2 Emerging technologies, trends of global and local startups

1.1.1 Definition of entrepreneurship

- **Entrepreneurship** is the process of **identifying opportunities**, **developing new ideas**, and **organizing resources** to create and grow a business venture that delivers value to society and generates profit. It involves **taking risks**, **innovating**, and **managing** a business to achieve success.
- **In Simple Terms:**
Entrepreneurship means **starting and running your own business** by using creativity and innovation to solve problems or meet market needs.

1.1.1 Definition of entrepreneurship

According to Scholars:

Joseph A. Schumpeter (1934):

“Entrepreneurship is the process of carrying out new combinations which result in new products, new production methods, new markets, or new forms of organization.”

Peter F. Drucker (1985):

“Entrepreneurship is the act of innovation that involves endowing existing resources with new wealth-producing capacity.”

Oxford Dictionary:

“Entrepreneurship is the activity of setting up a business or businesses, taking on financial risks in the hope of profit.”

1.1.1 Definition of entrepreneurship

Key Elements of Entrepreneurship

Innovation – creating new ideas, products, or services.

Risk-taking – investing time, money, and effort with uncertainty.

Opportunity recognition – spotting market gaps or needs.

Resource organization – managing people, finance, and materials.

Value creation – providing goods or services that benefit customers and society.

1.1.2 Key terminologies

1. Startup

A **startup** is a newly established business venture created to develop a unique product, service, or innovation, typically under conditions of uncertainty.

Key features: innovation, scalability, high growth potential, and experimentation.

Example: A new app-based delivery service aiming to disrupt the logistics market.

2. Enterprise

An **enterprise** is any organized business activity undertaken for profit or value creation. It can range from a small firm to a large corporation.

Key features: structured organization, long-term operation, and commercial purpose.

Example: A manufacturing company, a consultancy firm, or a social enterprise.

1.1.2 Key terminologies

3. Entrepreneur

An **entrepreneur** is an individual who identifies a business opportunity, mobilizes resources, takes calculated risks, and builds a venture to achieve specific goals.

Key traits: innovation, initiative, resilience, and leadership.

Example: Someone who starts a new eco-friendly fashion brand.

4. Entrepreneurial Attitude

Entrepreneurial attitude refers to a person's mindset or tendency to think and act in entrepreneurial ways — being proactive, innovative, and willing to take risks.

Includes: creativity, independence, self-confidence, and problem-solving.

Importance: It influences how individuals identify and respond to opportunities.

1.1.2 Key terminologies

5. Entrepreneurial Intention

Entrepreneurial intention is the conscious decision or motivation to start a new business or engage in entrepreneurial activity.

It represents the “plan” or “commitment” to act entrepreneurially.

Influenced by: personal attitudes, perceived ability, and social norms.

6. Entrepreneurial Behavior

Entrepreneurial behavior is the actual action or conduct of individuals who engage in entrepreneurial activities — turning ideas into ventures.

Examples: launching a product, seeking investors, developing a business model.

It is the practical realization of entrepreneurial intention.

1.1.3 Comparison: entrepreneurship vs employment

Aspect	Entrepreneurship	Employment
Definition	The process of starting and managing a new business venture to create value and profit.	Working for an organization or individual in exchange for a salary or wage.
Goal	To build, grow, and sustain a business; create opportunities and wealth.	To earn stable income and advance within an established structure.
Risk	High — entrepreneurs bear financial and operational risks.	Low — employees are generally protected from direct business risks.
Income	Variable — depends on business performance and success.	Fixed — regular and predictable salary or wages.
Decision-Making	Independent — entrepreneurs make all key business decisions.	Dependent — employees follow organizational rules and decisions of superiors.
Work Nature	Dynamic and creative — involves innovation and problem-solving.	Structured and routine — defined roles and responsibilities.
Security	Uncertain — business success is not guaranteed.	More secure — employment contracts provide stability.
Freedom	High — flexibility in work, strategy, and innovation.	Limited — must adhere to organizational policies and schedules.
Reward	Potential for high profits, recognition, and ownership.	Steady income, job benefits, and career growth opportunities.
Skill Requirement	Requires leadership, innovation, financial, and risk management skills.	Requires technical or professional skills relevant to the job role.

1.1.4 Types of entrepreneurs and their characteristics

Entrepreneurs can be categorized based on their motivations, behavior, and the nature of their ventures.

Each type demonstrates unique **characteristics**, **goals**, and **approaches** to business creation and growth.

1. Innovative Entrepreneur

Description: Creates new ideas, products, or technologies and introduces them to the market.

Characteristics: Creative, visionary, risk-taking, research-oriented, future-focused.

Example: Founder of a tech startup introducing a new digital platform.

1.1.4 Types of entrepreneurs and their characteristics

2. Imitative (Adoptive) Entrepreneur

Description: Copies or adapts existing innovations to suit local markets or improve existing products.

Characteristics: Practical, adaptable, market-aware, less risk-taking.

Example: Opening a local franchise of a successful international brand.

3. Fabian Entrepreneur

Description: Very cautious and skeptical about changes; adopts innovation only when it is proven and safe.

Characteristics: Conservative, risk-averse, slow to change, prefers stability.

Example: A business owner who adopts new technology only after competitors have proven its success.

1.1.4 Types of entrepreneurs and their characteristics

4. Drone Entrepreneur

Description: Resists change and continues to operate traditionally even when profits decline.

Characteristics: Traditionalist, stubborn, resistant to innovation, complacent.

Example: A shopkeeper refusing to move to online sales despite market changes.

5. Social Entrepreneur

Description: Focuses on solving social, environmental, or community problems through innovative ventures.

Characteristics: Mission-driven, empathetic, ethical, values social impact over profit.

Example: Founder of an enterprise providing clean water solutions in rural areas.

1.1.4 Types of entrepreneurs and their characteristics

6. Technopreneur

Description: Uses technology and innovation as the foundation of business creation and growth.

Characteristics: Technically skilled, innovative, future-oriented, adaptable.

Example: Developer launching an AI-based education platform.

7. Serial Entrepreneur

Description: Starts multiple ventures one after another, often selling or delegating them after establishment.

Characteristics: Energetic, opportunity-seeking, experienced, multi-project oriented.

Example: An entrepreneur who builds and exits several startups across different industries.

1.1.4 Types of entrepreneurs and their characteristics

8. Women Entrepreneur

Description: A woman who initiates, organizes, and runs a business venture, often contributing to empowerment and inclusion.

Characteristics: Determined, self-reliant, innovative, resilient.

Example: Founder of a fashion brand promoting local crafts.

1.1.4 Types of entrepreneurs and their characteristics

Type of Entrepreneur	Main Focus	Key Characteristics
Innovative	New ideas/products	Creative, visionary, risk-taker
Imitative	Adapting existing ideas	Practical, adaptable
Fabian	Stability and caution	Conservative, skeptical
Drone	Tradition and resistance	Rigid, non-innovative
Social	Social impact	Mission-driven, ethical
Technopreneur	Technology-driven innovation	Tech-savvy, innovative
Serial	Multiple ventures	Energetic, opportunity-seeking
Women	Empowerment & inclusion	Determined, resilient

1.1.5 Enterprise lifecycle

- The **enterprise lifecycle** refers to the series of **stages a business or enterprise passes through**, from its initial idea to eventual maturity or exit.
- Understanding this lifecycle helps entrepreneurs plan effectively, manage resources, and adapt strategies at each stage.

Visual Representation (for Workbook Illustration)

Idea → Startup → Growth → Maturity →

Expansion → Decline / Renewal

Stages of the Enterprise Lifecycle

Stage	Description	Key Characteristics / Activities
1. Ideation / Conception Stage	The business idea is generated and evaluated for feasibility.	- Identifying problems and opportunities- Conducting market research- Developing a business concept
2. Startup Stage	The business is officially launched, and operations begin.	- Registering the business- Developing products/services- Attracting first customers- Securing initial funding
3. Growth Stage	The enterprise experiences expansion in sales, customers, and operations.	- Increasing production- Hiring more staff- Expanding market reach- Seeking additional investment
4. Maturity Stage	The business becomes stable with consistent revenue and established market presence.	- Strong brand recognition- Process optimization- Focus on efficiency and innovation- Possible market diversification
5. Expansion / Diversification Stage	The enterprise explores new products, markets, or regions to sustain growth.	- Entering new markets- Introducing new product lines- Forming partnerships or franchises
6. Decline or Renewal Stage	Sales and profits may decline due to market saturation or competition; the enterprise must innovate or exit.	- Assessing business performance- Restructuring or reinventing the business- Considering exit strategies (sale, merger, closure)

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1.1.6 Role, importance and challenges

- Entrepreneurship plays a vital role in the economic and social development of a country.
- Entrepreneurs drive innovation, create jobs, and contribute to community well-being — but they also face various challenges in the process.

Role of Entrepreneurship

Role

1. Economic Development

2. Employment Generation

3. Innovation and Technology Advancement

4. Resource Utilization

5. Social Development

6. Export Promotion

7. Regional Balance

Description

Entrepreneurs establish new businesses that generate income, investment, and industrial growth.

By starting and expanding ventures, entrepreneurs create job opportunities for others.

Entrepreneurs introduce new products, services, or technologies, driving modernization.

They identify and use local resources efficiently to create value and wealth.

Social and community-oriented enterprises improve living standards and solve societal issues.

Innovative products and services can reach international markets, increasing foreign exchange earnings.

Entrepreneurship can promote development in rural or underdeveloped areas, reducing regional inequality.

Importance of Entrepreneurship

Importance

1. Encourages Self-Reliance

2. Promotes Innovation

3. Boosts National Income

4. Enhances Competition

5. Supports Sustainable Development

6. Builds Leadership and Skills

Explanation

Empowers individuals to create their own livelihood and reduce dependency on employment.

Leads to the discovery of new methods, processes, and technologies.

Contributes to GDP growth through production and trade.

Encourages efficiency, quality improvement, and fair pricing in the market.

Promotes eco-friendly businesses and social entrepreneurship for long-term impact.

Develops decision-making, problem-solving, and management abilities among individuals.

Challenges Faced by Entrepreneurs

Challenge	Description
1. Lack of Capital	Difficulty in securing sufficient funding for startup and expansion.
2. Market Competition	Intense competition from established businesses and new entrants.
3. Regulatory Barriers	Complex government rules, taxes, and licensing procedures.
4. Limited Managerial Skills	Lack of experience in financial, marketing, or operational management.
5. Technological Change	Rapid changes require continuous innovation and adaptation.
6. Access to Skilled Workforce	Difficulty in finding and retaining qualified employees.
7. Economic Instability	Fluctuating market demand, inflation, or political uncertainty can affect business performance.
8. Social and Cultural Barriers	Traditional mindsets or lack of support for entrepreneurship, especially among women and youth.

Summary

- Entrepreneurship is a key engine of **economic progress, innovation, and social transformation.**
- While it offers numerous opportunities, entrepreneurs must overcome challenges through **planning, creativity, adaptability, and resilience.**

1.2 Emerging technologies, trends of global and local startups

- In today's fast-changing world, technology plays a crucial role in shaping new business ideas and startup success.
- Entrepreneurs must stay updated with **emerging technologies** and **startup trends** to identify opportunities, innovate, and remain competitive — both globally and locally.

Emerging technologies

Emerging technologies are **new, rapidly developing tools and innovations** that have the potential to transform industries and create new business opportunities.

Emerging technologies

Technology	Description	Examples of Use in Startups
1. Artificial Intelligence (AI) and Machine Learning (ML)	Enables machines to learn from data and make intelligent decisions.	Chatbots for customer service, AI-driven analytics, personalized product recommendations.
2. Internet of Things (IoT)	Connects physical devices (machines, vehicles, sensors) through the internet.	Smart home devices, health monitoring wearables, logistics tracking systems.
3. Blockchain Technology	Provides secure and transparent digital transactions.	Cryptocurrency exchanges, supply chain tracking, digital identity verification.
4. Cloud Computing	Stores and manages data online, offering scalability and flexibility.	SaaS startups (e.g., online accounting, CRM systems).
5. 3D Printing (Additive Manufacturing)	Produces physical objects layer by layer from digital designs.	Prototyping, custom manufacturing, and healthcare prosthetics.
6. Augmented Reality (AR) and Virtual Reality (VR)	Creates immersive experiences by blending digital and physical worlds.	Virtual tours, gaming, e-learning, real estate visualization.
7. Renewable Energy and Green Tech	Focuses on sustainable solutions using solar, wind, and bioenergy.	Solar startups, e-vehicle charging stations, eco-friendly materials.
8. Biotechnology	Uses biological systems and living organisms for innovation.	Health diagnostics, agriculture improvement, pharmaceuticals.
9. FinTech (Financial Technology)	Integrates technology into financial services.	Digital wallets, mobile banking apps, peer-to-peer lending platforms.
10. Robotics and Automation	Uses robots to perform tasks with precision and efficiency.	Delivery drones, manufacturing automation, service robots.

Global Startup Trends

Trend	Description / Example
1. Remote Work and Digital Startups	Post-pandemic, many startups operate fully online, reducing overhead costs.
2. Sustainable and Green Startups	Global focus on environmental sustainability encourages eco-friendly products.
3. HealthTech and BioStartups	Growth in telemedicine, digital health records, and wellness apps.
4. E-Commerce and Online Marketplaces	Expansion of digital sales platforms and online services.
5. EdTech (Education Technology)	Online learning platforms and skill-based training startups are booming.
6. AI-Powered Businesses	Automation and predictive analytics are now mainstream in startups.
7. Shared Economy Platforms	Startups based on sharing assets or services (e.g., Uber, Airbnb).
8. Social Impact Startups	Ventures focusing on social welfare, inclusion, and empowerment.

Local Startup Trends (Nepal and South Asia)

Trend	Description / Example
1. FinTech Growth	Startups like eSewa, Khalti, and IME Pay revolutionizing digital payments.
2. E-Commerce Expansion	Daraz, SastoDeal, and other online marketplaces growing rapidly.
3. Agri-Tech Startups	Platforms helping farmers with market access and smart farming.
4. Tourism and Hospitality Innovation	Startups offering online booking, eco-tourism, and digital marketing for travel.
5. EdTech Startups	Growth of online learning platforms and exam prep apps (e.g., Mero School).
6. Renewable Energy Ventures	Focus on solar solutions and clean energy for rural electrification.
7. Youth-Led Entrepreneurship	Young innovators focusing on social impact and community solutions.

Summary

- Emerging technologies and modern trends are **driving the evolution of global and local startups**, creating new business models and opportunities.
- Entrepreneurs who adapt to these innovations are more likely to succeed in today's competitive environment.